



“People realise that this is a government that promises and delivers, and the Prime Minister is seized of everything that is happening on the ground”

the states also have a role, [as they are on the] Concurrent List. So, it will depend on how much absorption happens in the states, how much the department is able to push, and so on. Those factors are out of my realm, but I can understand where they are.

It's also not right to measure expenditure on education and health as being adequate or not. It can never be adequate... But the fact remains... that there is an element called absorption capacity... You may want to put any number into the outlay. But eventually, unless there is a properly fitted hospital, you're not going to be able to give additional training to the staff and spend money on that. Unless you have more medical seats available, you're not going to have enough doctors coming into the hospitals. Unless again, it is spread all over the country... there are levels and levels to which we need to pad [up] with more efforts and resources. But it's not going to happen within one year.

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RK: One big development this year will be J.P. Morgan including Indian government bonds in the government bond index for emerging markets from June. And you've reduced the fiscal deficit from the projected 5.9% to 5.8%, hoping to bring this down to 5.1%. How important is it for you to send a message to rating agencies to improve India's credit rating? And how are you looking at this inclusion?

A: These are two different things. Going into J.P. Morgan's listing is one thing. You are going to get money, which is going to be less costly. And it will be almost a default setup that it will keep coming once it is on the list. That's one side... The other is about the credit rating agencies. Am I bringing down the fiscal deficit from 5.9% to 5.8% because I want a better perspective shared with them? No, it can be a collateral. But I'm aiming at getting India's fisc a lot more toned up, so that it doesn't carry too much flab, so that you're able to at any point take decisions or give commitment to perform better.